

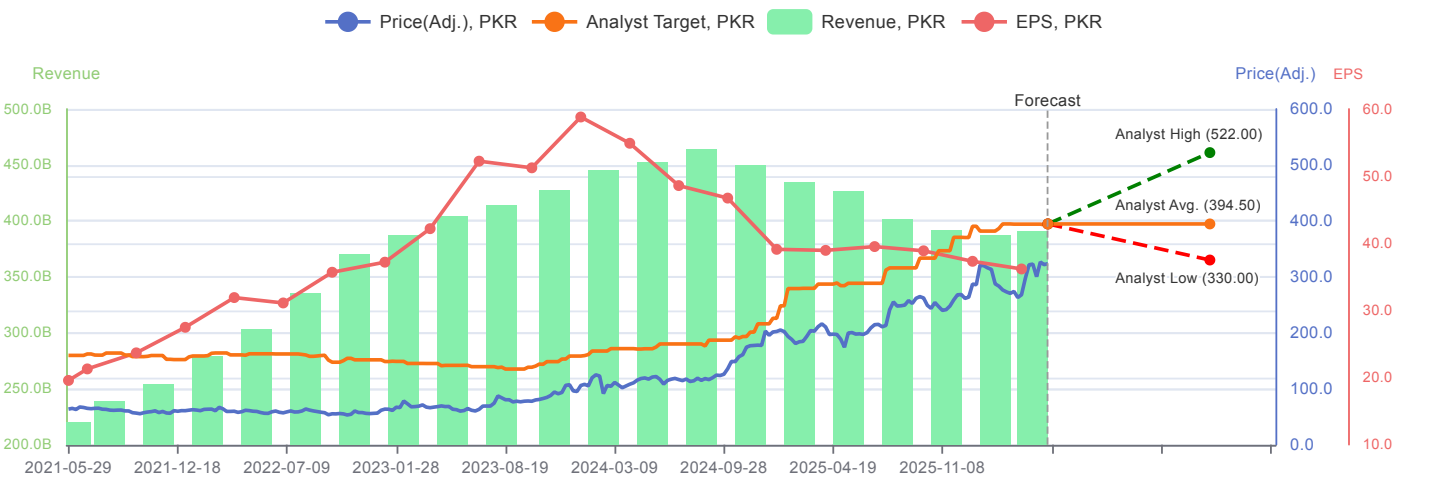
Key Indicators:

Date: May 27, 2026

Stock Price
PKR330.1

52-Week Range	PKR190.6 - PKR331.6	EPS Revisions (90d)	↑ - ↓ -	Revenue	PKR390.4B
Market Cap	PKR1.4T	PEG Ratio	-1.28	Revenue Forecast	PKR416.9B
P/E Ratio	9.13	FCF Yield	-0.92	1-Year Change	67.1%
P/E (Fwd.)	8.60	EV / EBITDA	5.47	Div Yield	4.85%
EPS Actual	39.5	Book / Share	327.2	Div. Growth Streak	5 years
EPS Estimate	38.4	Beta (5Y)	0.45	Next Earnings	2026-09-23

5-Year Chart



Executive Summary

Warren AI

Fair Value

Oil and Gas Development Company Limited (OGDC) is **Pakistan's largest integrated upstream oil and gas company**, engaged in exploration, development, production, and sale of oil and gas, operating across over 40% of Pakistan's awarded exploration acreage and contributing significantly to national energy security.

Market Position and Recent Performance: OGDC demonstrates **strong market leadership**, contributing approximately 49% of national oil output and 28% of gas production. The company recently began production from its **Spinwam-1 discovery** in Waziristan Block, adding approximately 40 mmcf of gas and 200 bpd of condensate. Technical indicators show a **Strong Buy** rating with the stock trading at **330.05 PKR**, near its 52-week high of 331.6 PKR, reflecting a remarkable **67% one-year gain**. The company maintains a **dividend growth streak of 5 years** and recently declared an interim dividend of Rs 3.25 per share, bringing total interim dividends to Rs 11.00 per share (110%).

Financial Health: OGDC exhibits robust financial metrics with a **P/E ratio of 9.13**, profitability rating of 7/10, and cash flow rating of 6/10. The company holds **more cash than debt** on its balance sheet with liquid assets exceeding short-term obligations. However, the growth rating stands at only 3/10, indicating limited expansion potential. The company received its tenth monthly interest payment of **Rs 7.725 billion** under the circular debt settlement mechanism.

Challenges and Risks: The company faces significant headwinds including **exposure to circular debt** (Rs 501 billion), natural production decline from mature fields, and commodity price volatility. Despite strong recent performance, analysts' EPS forecast shows a **-5% YoY decline for FY26** before recovering with 23% growth in FY27. The negative PEG ratio of -1.28 and FCF yield of -0.01 raise concerns about growth sustainability.

Analyst Outlook: Analysts maintain a positive stance with target prices ranging from 330 to 522 PKR (medium target: 394.5 PKR), suggesting potential upside. Forward P/E ratios of 8.6 (FY26) and 7.53 (FY27) indicate attractive valuation, though modest growth prospects temper enthusiasm.

Upside	-2.50%
Fair Value	PKR321.8

Financial Health

3.2/10	Growth Rating
7.0/10	Profitability Rating
6.4/10	Cash Flow Rating

Financial health is determined by ranking the company on over 100 indicators compared to other companies in its sector that operate in similar economic markets.

Valuation

Reporting Date	2023	2024	2025	2026	2027
Period Ending	30/06	30/06	30/06	30/06	30/06
Capitalization	PKR335.5B	PKR582.2B	PKR948.6B	PKR1.4T	PKR1.4T
P/E Ratio	1.85	2.47	5.66	8.60	7.53
Div. Yield	13.2	7.47	6.75	4.85	-
Capitalization / Revenue	0.83	1.29	2.22	3.41	2.92
EV / Revenue	0.41	0.76	1.43	2.67	2.29
EV / EBITDA	0.64	1.27	2.53	4.15	3.60
EV / FCF	-4.60	9.94	6.23	-	-
FCF Yield	8.54	5.47	1.05	-	-
Price / Book	0.33	0.48	0.71	1.01	-

 - Forecast

Pro Tips

Tips that distill complex financial data into concise, actionable investment insights.

 Holds more cash than debt on its balance sheet

 Has raised its dividend for 5 consecutive years

 Prominent player in the Oil, Gas & Consumable Fuels industry

 Has maintained dividend payments for 23 consecutive years

 High return over the last year

 Liquid assets exceed short term obligations

 Strong return over the last three months

 Analysts predict the company will be profitable this year

 Profitable over the last twelve months

 Large price uptick over the last six months

 High return over the last decade

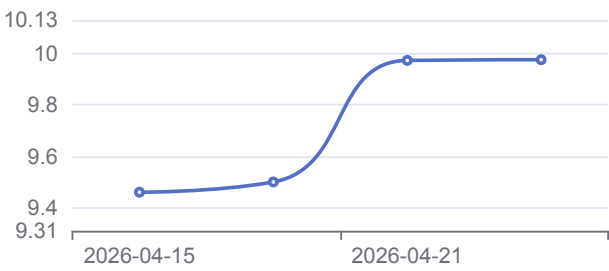
 Strong return over the last five years

Analyst Projections:

Analyst EPS Forecasts

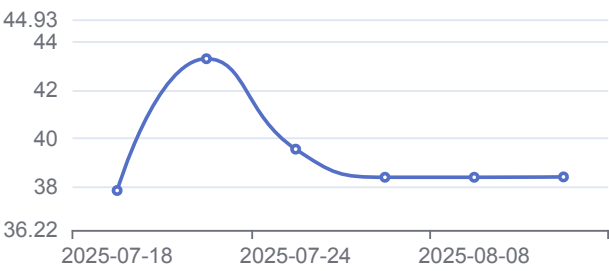
Period Ending	Average	YoY Growth	Forward P/E	# of Analysts
2024	0.14	-5.4%	8.6x	5
2025	0.16	23.4%	7.5x	6
2026	0.19	15.0%	6.3x	4

EPS Revisions Q4 2026



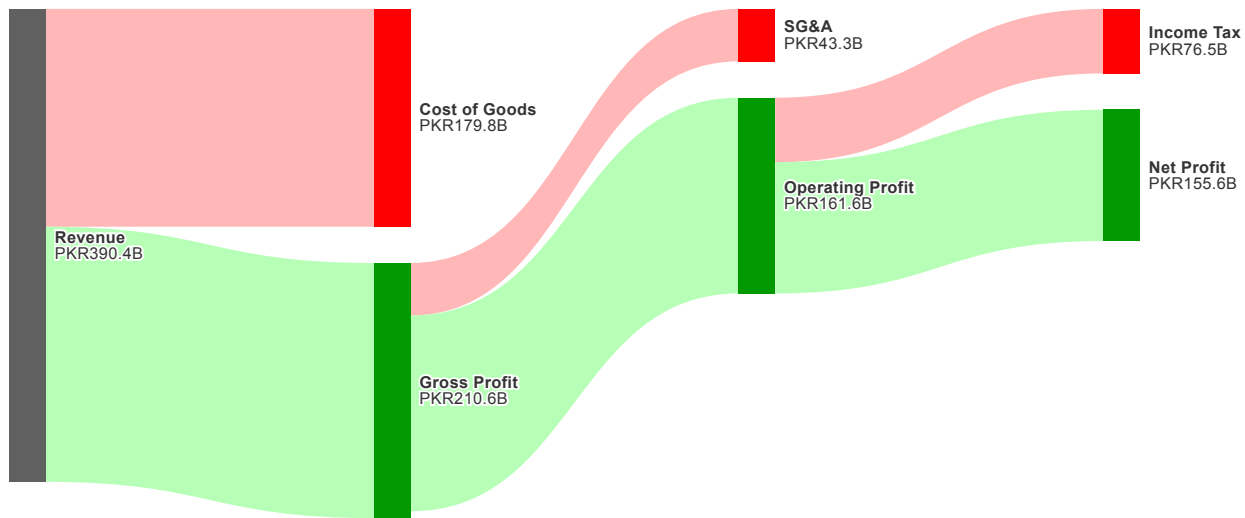
The chart above depicts the trend in analyst earnings per share (EPS) forecasts for the upcoming quarter. Analysts have increased this quarter's expectations by 0.0% for EPS from \$0.03 per share to \$0.03 per share over the last 12 months.

EPS Revisions FY2026



The chart above depicts the trend in analyst earnings per share (EPS) forecasts for the FY2025. Analysts have increased this quarter's expectations by 1.5% for EPS from \$0.13 per share to \$0.14 per share over the last 12 months. The company is expected to report earnings for Q4, 2026, on September 23, 2026.

Y LTM Financials:



* Income Statement is based on LTM data from 2025-03-31 to 2026-03-31

Income Statement

Date	2022	2023	2024	2025	LTM
Revenue	335,463	413,594	463,697	401,178	390,397
Operating Income	181,845	218,544	239,266	184,953	161,629
Net Income to Stockholders	133,783	224,617	208,975	169,902	155,559
Shares Outstanding	4,300	4,300	4,300	4,300	4,300
Diluted EPS	31.1	52.2	48.6	39.5	36.2
EBITDA	212,249	257,870	281,139	224,284	203,517

Balance Sheet

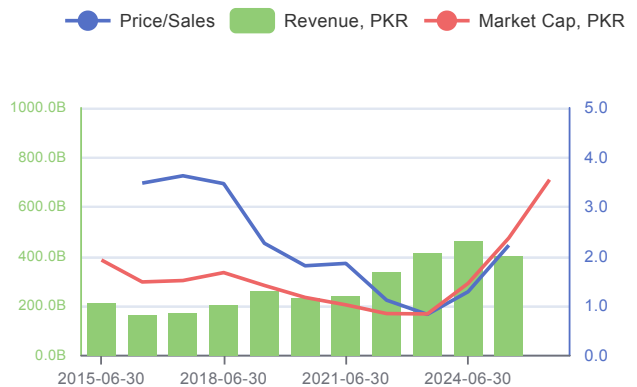
Date	2022	2023	2024	2025	LTM
Total Current Assets	778,537	959,117	1,060,489	1,123,383	1,119,754
Total Assets	1,129,983	1,424,065	1,604,254	1,654,606	1,719,449
Total Current Liabilities	139,065	160,964	180,856	125,279	121,992
Total Liabilities	254,590	341,167	353,757	306,369	312,156
Total Equity	875,392	1,082,897	1,250,496	1,348,236	1,407,292
Total Debt	0.0	0.0	0.0	3,039	2,298

Cash Flow Statement

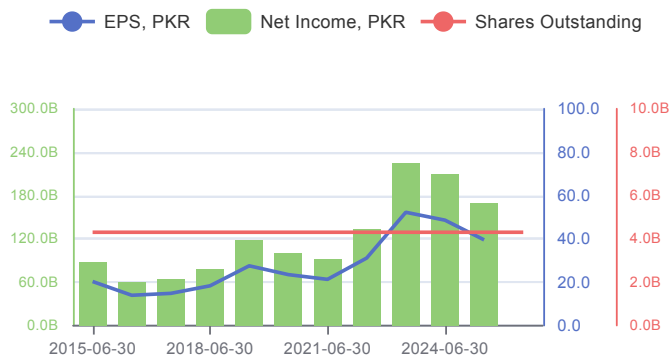
Date	2022	2023	2024	2025	LTM
Cash from Operations	72,364	27,817	105,166	40,827	95,006
Cash from Investing	-49,752	12,234	78,537	4,930	-16,085
Cash from Financing	-22,258	-31,984	-34,392	-101,788	-69,463
Levered Free Cash Flow	0.0	0.0	0.1	-0.0	-0.0

*In PKR millions, except number of shares, which are reflected in thousands, and per share amounts.

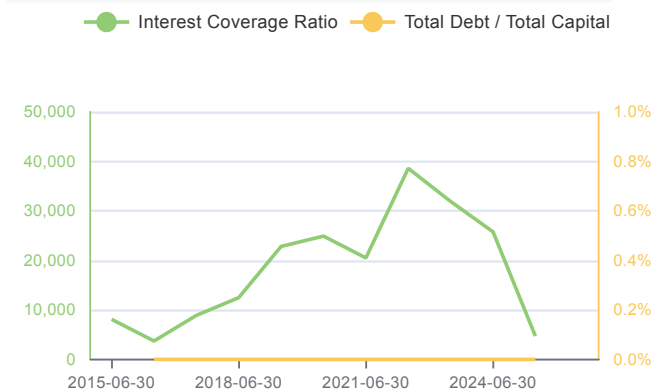
Revenue, Market Cap, Price/sales



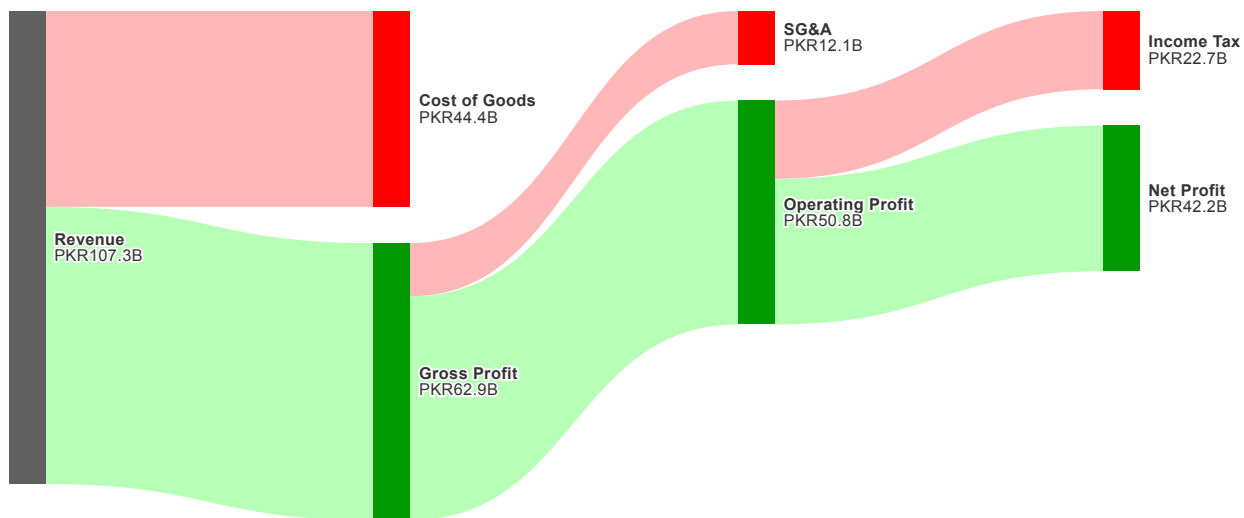
Net Income, EPS, Shares



Leverage and Debt



Q3 Financials



* Income Statement is based on LTM data from 2026-03-31

Income Statement

Date	Q3 2025	Q4 2025	Q1 2026	Q2 2026	Q3 2026
Revenue	104,483	90,270	96,192	96,637	107,297
Operating Income	47,775	29,651	47,846	33,334	50,797
Net Income to Stockholders	47,149	40,296	38,304	34,714	42,243
Shares Outstanding	4,300	4,300	4,300	4,300	4,300
Diluted EPS	11.0	9.37	8.91	8.07	9.82
EBITDA	57,132	43,151	56,340	43,949	60,077

Balance Sheet

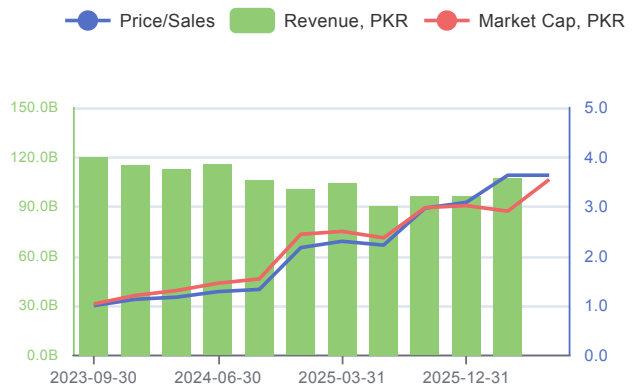
Date	Q3 2025	Q4 2025	Q1 2026	Q2 2026	Q3 2026
Total Current Assets	1,077,375	1,123,383	1,126,626	1,113,550	1,119,754
Total Assets	1,606,703	1,654,606	1,677,940	1,686,617	1,719,449
Total Current Liabilities	93,943	125,279	107,897	115,736	121,992
Total Liabilities	273,758	306,369	291,988	302,979	312,156
Total Equity	1,332,944	1,348,236	1,385,951	1,383,637	1,407,292
Total Debt	0.0	3,039	2,783	2,537	2,298

Cash Flow Statement

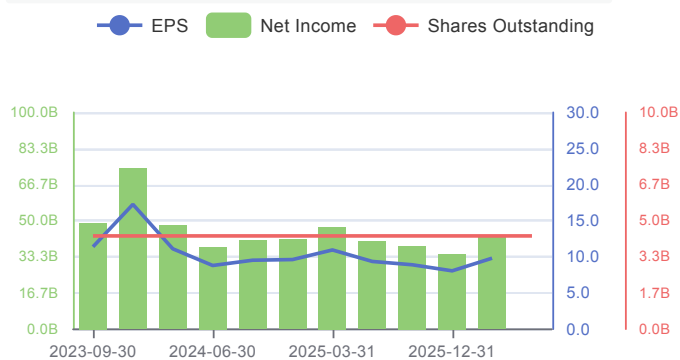
Date	Q3 2025	Q4 2025	Q1 2026	Q2 2026	Q3 2026
Cash from Operations	-6,773	28,506	3,712	46,300	20,020
Cash from Investing	-16,106	-13,655	-27,114	26,804	-5,653
Cash from Financing	-37,802	-13,948	-354.2	-36,831	-18,329
Levered Free Cash Flow	-0.0	-0.0	-0.0	0.0	-7,241

*In PKR millions, except number of shares, which are reflected in thousands, and per share amounts.

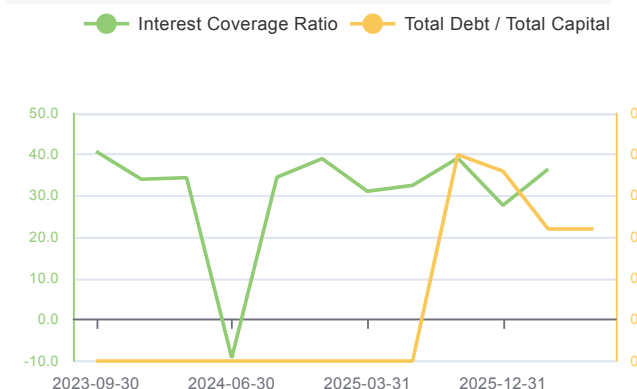
Revenue, Market Cap, Price/sales



Net Income, EPS, Shares



Leverage and Debt



Momentum & Technical Indicators

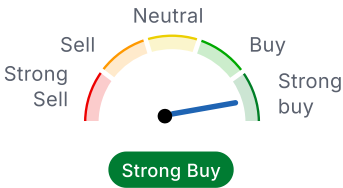
Price Momentum

Metric	OGDC	Percentile	Score
Price % of 52 Week High	99.5%	100%	5
1 Week Price Total Return	3.6%	90.2%	4.5
2 Week Price Total Return	1.4%	80.2%	4.0
3 Week Price Total Return	1.5%	80.0%	4.0
1 Month Price Total Return	4.5%	81.7%	4.1
3 Month Price Total Return	19.4%	84.1%	4.2
6 Month Price Total Return	30.0%	73.8%	3.7
1 Year Price Total Return	67.1%	84.2%	4.2
2 Year Price Total Return	175.4%	95.6%	4.8
3 Year Price Total Return	450.4%	100%	5
4 Year Price Total Return	488.1%	96.1%	4.8
5 Year Price Total Return	432.4%	90.1%	4.5

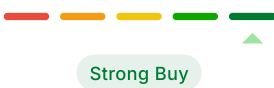
Peers

PPL	MARI
90.1%	61.1%
1.9%	3.5%
1.0%	-11.2%
-2.1%	-0.5%
-6.8%	-1.6%
-6.6%	-19.8%
-0.1%	-22.8%
6.9%	78.7%
34.3%	109.1%
53.8%	125.8%
36.2%	114.6%
49.6%	87.3%

Technical Summary



Moving Averages



Technical Indicators



The Moving Average Score is based on various moving averages, both simple and exponential, with ranges from 5 to 200.

The Technical Score is calculated based on key technical indicators, including RSI, Stochastic, MACD, Williams %R, CCI, ATR, Highs/Lows, Ultimate Oscillator, ROC, and Bull/Bear Power, among others.

Peer Benchmarks:

Market and Yield Metrics

Metric	OGDC	PPL	MARI
Market Cap	PKR1.4T	\$27.2B	\$1.1B
Price % of 52 Week High	97.9%	89.6%	60.9%
Div Yield	4.85%	3.16%	0%
Beta	0.45	0.62	-
1 Year Return	67.1%	6.94%	78.7%

Growth Metrics

Metric	OGDC	PPL	MARI
Revenue Growth	-8.45%	7.50%	
Revenue CAGR (5y)	11.5%	10.6%	
Net Income Growth	-7.12%	22.5%	-148.3%
Net Income CAGR (5y)	11.0%	-4.27%	
Revenue Forecast CAGR (5y)	3.61%	6.20%	
Net Income Forecast CAGR (5y)	0.84%	12.9%	

Financial Statement Metrics

Metric	OGDC	PPL	MARI
Revenue	PKR390.4B	\$9.3B	-
Gross Profit	PKR210.6B	\$4.0B	-
Operating Income	PKR161.6B	\$2.2B	-\$34.0M
Gross Profit Margin	53.9	43.3	-
Net Income to Common	PKR155.6B	\$1.2B	-\$33.0M
ROE	11.4	8.30	-17.8
ROI	7.54	5.18	-15.6
ROA	9.35	2.77	-17.5
Total Assets	PKR1.7T	\$46.3B	\$265.8M
Total Debt	PKR2.3B	\$20.3B	\$914,000

Valuation Metrics

Metric	OGDC	PPL	MARI
P/E Ratio (LTM)	9.13	22.2	-24.4
PEG Ratio	-1.28	1.02	0.20
Price / Book	1.01	1.80	3.07
Price / LTM Sales	3.64	2.90	-
Analyst Upside	17.4%	16.1%	77.6%
Fair Value Upside	-2.50%	-1,529.0%	-1,604.0%

Latest Insights

Warren AI

Bull Case

- Strong production growth from new discoveries including Spinwam-1 (40 mmcf/d gas, 200 bpd condensate) with combined Shewa-Spinwam output expected to reach 100 mmcf/d gas and 800 bpd condensate, positioning OGDC for material production increases.
- Exceptional shareholder returns demonstrated through 5-year consecutive dividend growth, 23-year dividend payment streak, and recent 110% interim dividend (Rs 11.00 per share), coupled with robust 67% one-year stock price appreciation.
- Solid financial position with more cash than debt, liquid assets exceeding short-term obligations, and profitability rating of 7/10, providing resilience against market volatility and funding capacity for exploration activities.
- Circular debt resolution progressing with tenth monthly interest payment of Rs 7.725 billion received from Power Holding (Private) Limited, improving cash flow visibility with Rs 92 billion total interest expected over twelve installments.
- Attractive valuation metrics with P/E of 9.13, forward P/E of 8.6 declining to 6.28 by FY28, and analyst target medium of 394.5 PKR suggesting 20% upside potential from current levels near 330 PKR.

Bear Case

- Weak growth rating of 3/10 combined with negative PEG ratio of -1.28 and negative FCF yield of -0.01 indicate limited expansion potential and concerning free cash flow generation despite recent operational successes.
- Analyst EPS forecast shows -5% YoY decline for FY26 (38.38 PKR vs actual 39.5 PKR), suggesting near-term earnings pressure despite longer-term recovery expectations of 23% growth in FY27.
- Substantial circular debt exposure of Rs 501 billion out of Rs 3.2 trillion gas sector debt constrains liquidity and capital allocation flexibility, with estimated Rs 40-43 billion revenue losses from gas curtailments in FY25.
- Natural production decline from mature fields requires continuous capital-intensive exploration and development to offset, creating ongoing investment pressure in challenging operational environments like frontier regions with security concerns.
- High commodity price sensitivity with revenue forecast of 416,863 billion PKR exposed to global oil volatility, while weakening PKR impacts imported equipment costs despite inflating PKR-denominated revenues.

Additional Insights

- Technical momentum remains exceptionally strong with Strong Buy ratings from both moving averages and technical indicators, stock trading at 330.05 PKR near 52-week high of 331.6 PKR, and impressive returns across multiple timeframes (high returns over 1-year, 5-year, and 10-year periods).
- Valuation multiples show dramatic expansion trajectory with EV/EBITDA rising from 0.64 (FY23) to projected 4.15 (FY26), and market cap/revenue increasing from 0.83x to 3.41x, indicating either significant multiple expansion or concerning operational efficiency trends.
- Dividend yield has compressed from 13% (FY23) to current 5% despite consecutive dividend increases, reflecting substantial stock price appreciation outpacing dividend growth and potentially limiting income investor appeal at current valuations.
- Next earnings announcement scheduled for September 23, 2026 will be critical for validating FY27 recovery thesis, particularly given near-term FY26 earnings headwinds and analyst expectations for 23% YoY EPS growth rebound.
- Low beta of 0.45 provides defensive characteristics reducing portfolio volatility, while strong government backing as state-owned enterprise with guaranteed production purchases offers structural stability uncommon in emerging market energy plays.

SWOT Analysis

WarrenAI

Strengths

- Market leadership as Pakistan's largest E&P company controlling over 40% of exploration acreage and contributing 49% of national oil output and 28% of gas production.
- Superior financial health with more cash than debt, liquid assets exceeding short-term obligations, profitability rating of 7/10, and cash flow rating of 6/10.
- Consistent shareholder value creation through 5-year dividend growth streak, 23-year consecutive dividend payments, and recent 110% interim dividend (Rs 11.00 per share).
- Strong operational momentum with new production from Spinwam-1 adding 40 mmcfd gas and 200 bpd condensate, demonstrating successful exploration and development execution.
- Defensive risk profile with beta of 0.45 and government backing as state-owned enterprise providing stability in volatile emerging market environment.

Weaknesses

- Severely constrained growth with rating of only 3/10, negative PEG ratio of -1.28, and negative FCF yield of -0.01 indicating limited expansion potential and cash generation concerns.
- Near-term earnings pressure with analyst forecasts showing -5% YoY EPS decline for FY26 (38.38 PKR vs 39.5 PKR actual) before recovery.
- Massive circular debt exposure of Rs 501 billion constraining liquidity, with estimated Rs 40-43 billion revenue losses from gas curtailments in FY25 significantly impacting cash flows.
- Natural production decline from mature fields requiring continuous capital-intensive exploration and development investments to maintain output levels.
- Valuation expansion concerns with EV/EBITDA rising from 0.64 (FY23) to projected 4.15 (FY26) and market cap/revenue increasing from 0.83x to 3.41x.

Opportunities

- Production expansion from new discoveries including Spinwam-1 and Shewa wells expected to deliver combined 100 mmcfd gas and 800 bpd condensate, with incremental 28 mmcfd in FY27 rising to 60 mmcfd in FY28 from Baragzai, Bitrism East, and Spinwam.
- Circular debt resolution progress through government-approved settlement mechanism with Rs 7.725 billion monthly interest payments (tenth received) from total Rs 92 billion, improving cash flow visibility and financial flexibility.
- Strategic diversification into renewable energy including pilot geothermal project and international ventures such as offshore block joint venture in Abu Dhabi, reducing fossil fuel dependency risks.
- Compression projects at Dakhni and KPD-TAY to boost production from existing assets, targeting 5% natural gas output increase to 865 mmcfd and 14% crude oil increase to 40,000 bpd.

Threats

- Commodity price volatility directly impacting earnings given high sensitivity to global crude oil prices, with revenue forecast of 416,863 billion PKR substantially exposed to market fluctuations.
- Persistent circular debt crisis with Rs 501 billion exposure out of Rs 3.2 trillion gas sector debt, and ongoing gas curtailments causing Rs 40-43 billion annual revenue losses threatening operational sustainability.
- Geopolitical and security risks in frontier exploration regions like Khyber Pakhtunkhwa and Balochistan where new discoveries are concentrated, potentially disrupting operations and deterring investment.
- Global energy transition and increasing renewable energy adoption posing long-term structural threat to fossil fuel demand, despite OGDC's diversification efforts into alternative energy sources.
- Macroeconomic headwinds including PKR depreciation increasing imported equipment costs, high inflation and interest rates raising borrowing costs, and political instability creating regulatory uncertainty.

Top News, last 60 days:

[Oil and Gas Development Company Declares Rs 3.25 Per Share Interim Dividend](#)

April 29, 2026

- Oil and Gas Development Company Limited's board approved an interim cash dividend of Rs 3.25 per share (32.5%) for the quarter ended March 31, 2026, during a meeting held on Tuesday, April 28, 2026 at 1400 hours in Islamabad.
- The dividend is in addition to a previously paid interim dividend of Rs 7.75 per share (77.5%), bringing combined interim dividends to Rs 11.00 per share (110%) for the period.
- The dividend will be paid to shareholders whose names appear in the Register of Members on May 11, 2026, with Share Transfer Books closed from May 12, 2026 to May 13, 2026.

Importance - 4/10

Neutral

[OGDCL Receives Tenth Monthly Interest Payment of Rs 7.725 Billion Under Circular Debt Plan](#)

April 24, 2026

- OGDCL received Rs 7.725 billion on Thursday, April 23, 2026, as the tenth monthly interest payment from Power Holding (Private) Limited under term finance certificates.
- The payment is one of twelve equal monthly installments totaling Rs 92 billion in interest, which began in July 2025 as part of a Government of Pakistan approved circular debt settlement mechanism.
- Power Holding (Private) Limited has now completed ten of twelve scheduled monthly payments to OGDCL under the circular debt settlement plan.

Importance - 4/10

Neutral

[OGDC begins production from Spinwam-1 gas discovery in Pakistan's Waziristan Block](#)

April 01, 2026

- Oil & Gas Development Company Limited has started producing gas and condensate from its Spinwam1 discovery in the Waziristan Block of Khyber Pakhtunkhwa Province, Pakistan.
- The well is currently producing approximately 40 million standard cubic feet per day of gas and 200 barrels per day of condensate during its Extended Well Testing phase from the Lockhart reservoir.
- Combined output from both Shewa and Spinwam wells is expected to reach around 100 million standard cubic feet per day of gas and 800 barrels per day of condensate.
- Mari Energies Limited operates the Waziristan Block with 55% working interest, while OGDC holds 35% and Orient Petroleum Inc. owns 10%.

Importance - 4/10

Positive

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